

FAMOUS ACCOUNTING SCANDALS

Even large, well-known companies can be guilty of manipulating their profit-and-loss accounts. The biggest scandals of recent years included that of Enron, at the time one of the top seven US companies.

ENRON (2001)

Shareholders in this large US company lost a combined \$74 billion. When the company collapsed, accountants found that the balance sheet had huge hidden debts that had not been declared.

WORLDCOM (2006)

This communications company appeared to have far more assets than it actually owned, thanks to false entries detailing sales that never existed. It may have inflated its assets by as much as \$11 billion.

BERNIE MADOFF (2008)

Investors were paid returns out of their own money, and the business was only sustained by new investors being recruited. Investors in the scheme lost around \$65 billion.

LEHMAN BROTHERS (2008)

This investment bank, founded in 1850, had \$50 billion of losses in the form of worthless assets on its balance sheet. It went bankrupt, a major factor in the global financial crisis.

Smoother earnings

Company B smooths its earnings by setting money aside during profitable years to use at a later date, for example to repay a loan or cover any unexpected large expenses.

Figures are managed

Income is higher than usual, so the extra revenue is stockpiled and then pushed on to the following year. Profits therefore appear to be steadily increasing.



WARNING

Reading a company's financial statement does not always give the full picture. Some of the world's biggest corporate finance scandals have involved hidden losses, loans made to look like income, and misstated profits to make the company in question appear solvent when it is not.

“We’re not managing profits, we’re managing businesses.”

Jack Welch